

COMPREHENSIVE WEALTH PLAN

Your Strategic Roadmap to Financial Independence

Prepared for: Lauren Chi | December 2025

Executive Summary

Your Financial Transformation

This comprehensive plan provides a clear pathway to building \$1 million in net worth by age 45 while creating sustainable passive income streams. Through strategic tax optimization, aggressive Bitcoin accumulation, and systematic debt elimination, you'll accelerate your wealth-building timeline significantly.

\$35,000+

First-Year Tax Savings & Cash Flow Improvement

CURRENT AGE

37

TARGET AGE

45

YEARS TO GOAL

8

ANNUAL INCOME

\$125K

Your Primary Objectives

- Goal #1:** Build \$1 million net worth by age 45
- Goal #2:** Create passive income to replace W-2 salary
- Goal #3:** Eliminate \$50K+ non-mortgage debt
- Timeline:** Next major wealth-building move within 6-12 months

What Makes This Plan Different

Unlike generic financial advice, this plan is specifically designed for your situation as a W-2 employee transitioning to business ownership. We've analyzed 43+ tax strategies and selected only those that match your current income level, time availability, and conservative approach. Every recommendation is actionable within the next 90 days.

Current Financial Snapshot

Income Analysis

Income Source	Annual Amount	Status
W-2 Salary	\$125,000	Active
Business Income (LLC)	\$0 (Pending)	In Formation
Rental Property Income	Variable	Active
Total Household Income	\$125,000+	

Asset Position

Asset	Current Value	Notes
Retirement Accounts	\$175,000	Mid-range estimate
Home Equity	\$150,000	Primary residence
Investment Property	Variable	Long-term rental
2018 Tesla Model 3	~\$25,000	25-75% business use
Liquid Cash	\$5,000	Limited deployment capital
Estimated Net Worth	\$305,000+	31% of \$1M goal achieved

Expense & Debt Profile

Category	Monthly/Annual	Priority
Fixed Monthly Expenses	\$3,000/month	Ongoing
Mortgage Payment (PITI)	\$2,999/month	Ongoing
Non-Mortgage Debt	\$50,000+	Eliminate Year 1-2
Total Monthly Obligations	~\$6,000	

Critical Constraint: With limited liquid capital (<\$5K) and 2-3 months emergency fund, our strategy prioritizes cash flow improvement before aggressive investing. Tax savings will be redirected to build emergency fund to 6 months, then eliminate debt, then invest.

Tax Situation

Filing Status: Single

Marginal Federal Rate: 24%

California State Rate: 9.3%

Combined Marginal Rate: 33.3%

Current Tax Strategy: Minimal optimization (not maxing retirement, no business deductions)

This combined rate means every dollar of deduction saves you \$0.33 in taxes. This makes tax optimization your single most powerful wealth-building tool in the first 24 months.

Tax Optimization Blueprint

Strategic Approach

We've analyzed 43+ tax strategies and selected 7 foundational strategies that match your profile: W-2 income, emerging business, limited time availability (<2 hrs/week), and moderate approach. These strategies deliver maximum value with minimal complexity.

Year-One Priority Strategies

Strategy 1: Backdoor Roth IRA Conversion

Tax-Free Growth Value: \$7,000 annually (\$280K+ over 40 years)

Why This Matters: As a single filer earning \$125K, you're above the Roth IRA income limit (\$150K phase-out start). The backdoor Roth allows you to contribute \$7,000 annually that grows completely tax-free forever.

How It Works:

- ✓ Open Traditional IRA (non-deductible contribution)
- ✓ Contribute \$7,000 to Traditional IRA
- ✓ Immediately convert to Roth IRA (no taxes if done quickly)
- ✓ Repeat annually

Implementation Timeline: January 2026 (complete in Q1)

Documentation Required:

- ✓ Form 8606 (non-deductible IRA contribution)
- ✓ Conversion confirmation from brokerage
- ✓ Track basis annually

Compliance Notes: Avoid pro-rata rule complications by ensuring you have no existing pre-tax IRA balances. If your employer 401(k) allows, you can roll any existing IRA balances into your 401(k) first to clear the path for clean backdoor Roth conversions.

Long-Term Value: Assuming 8% average annual returns, your annual \$7,000 contributions will grow to approximately \$280,000 over 30 years - completely tax-free. In retirement, every dollar you withdraw from this Roth IRA has zero tax liability.

Strategy 2: W-4 Withholding Optimization

Immediate Cash Flow: +\$8,400 annually

Why This Matters: Most Americans overpay taxes throughout the year and receive refunds. This is an interest-free loan to the government. With your limited liquid capital, optimizing withholding puts \$700/month back in your pocket immediately.

How It Works:

- ✓ Update W-4 with employer to reduce withholding
- ✓ Account for planned deductions (401k contributions, business expenses once LLC active)
- ✓ Target: Zero refund, zero balance due
- ✓ Result: Extra \$700/month in take-home pay

Implementation Timeline: Week 1 (submit new W-4)

Use of Extra Cash Flow:

- ✓ Months 1-3: Complete 6-month emergency fund (\$18,000 total)
- ✓ Months 4-12: Accelerated debt paydown (\$6,300 toward \$50K debt)
- ✓ Year 2+: Redirect to Bitcoin accumulation

Safety Mechanism: Use IRS Tax Withholding Estimator quarterly to ensure you're on track. Must pay 90% of current year tax or 100% of prior year tax (110% if AGI >\$150K) to avoid underpayment penalties.

Strategy 3: Solo 401(k) Setup (Once LLC Generates Income)

Annual Tax Savings: \$15,000 - \$23,000

Why This Matters: Once your LLC generates net profit, a Solo 401(k) allows you to defer up to \$69,000 annually (\$76,500 if age 50+). As both employee and employer, you maximize contributions far beyond traditional 401(k) limits.

Contribution Limits (2025):

- ✓ Employee Deferral: Up to \$23,500 (or 100% of W-2 compensation, whichever is less)
- ✓ Employer Contribution: Up to 25% of compensation
- ✓ Combined Maximum: \$69,000 total

Example Scenario: If your LLC generates \$60,000 net profit in Year 1:

- ✓ Pay yourself \$30,000 W-2 salary
- ✓ Employee deferral: \$23,500 (reduce to \$23,500 if taking full salary)
- ✓ Employer contribution: \$7,500 (25% of \$30,000)
- ✓ Total contribution: \$31,000
- ✓ Tax savings: $\$31,000 \times 33.3\% = \$10,323$

Implementation Timeline:

- ✓ Q1 2026: Complete LLC formation with Prime Corporate
- ✓ Q2 2026: Generate first business revenue
- ✓ Q3 2026: Open Solo 401(k) (recommend Fidelity or E-Trade)
- ✓ Q4 2026: Make first contributions

Documentation Required:

- ✓ Form 5500-EZ (if plan assets >\$250K)
- ✓ Annual contribution records
- ✓ Payroll documentation for W-2 compensation

Compliance Notes: Must have self-employment income to contribute. Contributions must be made by tax filing deadline (including extensions). Cannot contribute more than net self-employment income.

Strategy 4: Home Office Deduction

Annual Tax Savings: \$1,600 - \$2,200

Why This Matters: You have dedicated space for home office work. Once your LLC is active, this space generates legitimate business deductions for mortgage interest, property taxes, utilities, insurance, repairs, and depreciation.

Two Methods Available:

Simplified Method:

- ✓ \$5 per square foot
- ✓ Maximum 300 sq ft
- ✓ Maximum deduction: \$1,500
- ✓ Easiest to calculate and defend

Regular Method (Higher Deduction):

- ✓ Calculate actual expenses: mortgage interest, property taxes, utilities, insurance, repairs, depreciation
- ✓ Multiply by business-use percentage
- ✓ Example: 200 sq ft office / 2,000 sq ft home = 10% business use
- ✓ If total home expenses = \$50,000/year, deduction = \$5,000
- ✓ Tax savings: $\$5,000 \times 33.3\% = \$1,665$

Requirements:

- ✓ Exclusive and regular business use
- ✓ Principal place of business OR separate structure
- ✓ Cannot use space for personal activities

- ✓ Document with photos and measurements

Implementation Timeline: Within 2 weeks of LLC approval

Documentation Required:

- ✓ Floor plan with measurements
- ✓ Photos of dedicated office space
- ✓ Receipts for all home expenses
- ✓ Business activity logs

Recommended Approach: Start with regular method since your home expenses are substantial (\$2,999/month mortgage + property taxes, insurance, utilities). Regular method will generate significantly higher deduction than simplified method.

Strategy 5: Vehicle Expense Deduction

Annual Tax Savings: \$2,100 - \$3,300

Why This Matters: Your 2018 Tesla Model 3 is used 25-75% for business. This generates substantial deductible expenses through either standard mileage or actual expense method.

Two Methods Available:

Standard Mileage Method:

- ✓ 2025 rate: \$0.70 per mile
- ✓ Example: 10,000 business miles = \$7,000 deduction
- ✓ Tax savings: $\$7,000 \times 33.3\% = \$2,331$
- ✓ Easiest to track and document

Actual Expense Method:

- ✓ Track all vehicle expenses: charging, insurance, repairs, registration, depreciation
- ✓ Multiply by business-use percentage
- ✓ Example: $\$10,000 \text{ annual vehicle expenses} \times 50\% \text{ business} = \$5,000 \text{ deduction}$

- ✓ May be higher for expensive vehicles or high expense years

Implementation Timeline: Start tracking January 1, 2026

Critical Documentation:

- ✓ Mileage log (date, miles, business purpose) - contemporaneous required
- ✓ Apps: MileIQ, Everlance, QuickBooks Self-Employed
- ✓ Keep all receipts if using actual expense method
- ✓ Document business use percentage calculation

Tesla-Specific Considerations:

- ✓ Electric vehicle charging costs are deductible
- ✓ Track both home charging and Supercharger costs
- ✓ Business-use percentage applies to all expenses
- ✓ Model 3 GVWR <6,000 lbs so bonus depreciation limited

Recommended Approach: Start with standard mileage method for simplicity. Use mileage tracking app from day one. Reassess annually to see which method gives higher deduction.

Strategy 6: Health Savings Account (HSA) - If Eligible

Annual Tax Savings: \$1,400 + Tax-Free Growth

Why This Matters: HSA is the only triple tax-advantaged account: tax-deductible contributions, tax-free growth, tax-free withdrawals for medical expenses. If you can switch to a high-deductible health plan (HDHP), this is powerful.

Contribution Limits (2025):

- ✓ Individual coverage: \$4,300
- ✓ Family coverage: \$8,550
- ✓ Age 55+ catch-up: +\$1,000

Tax Benefits:

- ✓ Contribution: $\$4,300 \times 33.3\% = \$1,432$ tax savings
- ✓ Growth: Tax-free (invest like IRA)
- ✓ Withdrawals: Tax-free for qualified medical expenses
- ✓ After age 65: Can withdraw for any purpose (taxed as income)

Requirements:

- ✓ Must have high-deductible health plan (HDHP)
- ✓ 2025 HDHP definition: Minimum deductible \$1,650 individual / \$3,300 family
- ✓ Cannot have other health coverage
- ✓ Not enrolled in Medicare

Implementation Timeline:

- ✓ Next open enrollment: Evaluate HDHP vs current plan
- ✓ If switching: Open HSA January 1
- ✓ Make contributions throughout year or lump sum by tax deadline

Strategic Use:

- ✓ Contribute maximum annually
- ✓ Pay medical expenses out-of-pocket if possible
- ✓ Invest HSA funds for long-term growth
- ✓ Keep receipts indefinitely (can reimburse yourself decades later)
- ✓ Treat as supplemental retirement account

Current Status: You indicated "No - I don't have an HDHP" so this strategy is available for future years once you evaluate health plan options.

Strategy 7: S-Corporation Election (Future Consideration)

Potential Annual Tax Savings: \$4,600 - \$9,200 (when business profit >\$60K)

Why This Matters: Once your LLC generates \$60,000+ net profit annually, S-Corp election saves substantial self-employment tax by splitting income between W-2 salary (subject to FICA) and distributions (not subject to FICA).

Self-Employment Tax Problem:

- ✓ Sole proprietorship: Pay 15.3% self-employment tax on all net profit
- ✓ On \$80,000 profit = \$12,240 self-employment tax
- ✓ This is on top of income tax

S-Corp Solution:

- ✓ Pay yourself "reasonable salary" W-2 (subject to FICA 15.3%)
- ✓ Remaining profit distributed as "distribution" (not subject to FICA)
- ✓ Example on \$80,000 profit:
 - o ✓ W-2 salary: \$40,000 (FICA: \$6,120)
 - o ✓ Distribution: \$40,000 (FICA: \$0)
 - o ✓ Total FICA: \$6,120 vs \$12,240 as sole prop
 - o ✓ Savings: \$6,120

When to Elect:

- ✓ Net profit consistently >\$60,000
- ✓ Able to justify reasonable salary
- ✓ Willing to run payroll (can outsource to Gusto, ADP)
- ✓ Business stable and growing

Requirements:

- ✓ File Form 2553 (S-Corp election)
- ✓ Must file by March 15 or within 2.5 months of entity formation
- ✓ Run payroll for yourself (must pay "reasonable compensation")

- ✓ File Form 1120-S annually
- ✓ Additional compliance: payroll taxes, quarterly reports

Implementation Timeline:

- ✓ Year 1: Operate as sole prop or single-member LLC
- ✓ Year 2: If profit >\$60K, elect S-Corp status
- ✓ Ongoing: Maintain payroll and corporate formalities

Current Status: Your LLC is pending approval. Focus first on generating revenue. Revisit S-Corp election once you have consistent \$60K+ annual profit.

Working with Prime Corporate: Discuss S-Corp election timeline with your Prime Corporate advisor. They can help file Form 2553 at the optimal time and ensure compliance.

Additional Business Deductions (Once LLC Active)

Beyond the primary strategies above, your LLC can deduct:

- ✓ **Technology & Equipment:** Computer, phone, software subscriptions, office furniture (Section 179 immediate expensing up to \$1,220,000)
- ✓ **Professional Development:** Courses, certifications, books, seminars related to business
- ✓ **Internet & Phone:** Business-use percentage of monthly bills
- ✓ **Professional Services:** CPA fees, legal fees, business consulting
- ✓ **Marketing & Advertising:** Website, business cards, ads, social media
- ✓ **Business Insurance:** Professional liability, business property insurance
- ✓ **Meals:** 50% deductible for business meals with clients/prospects
- ✓ **Travel:** Business trips, conferences (must document business purpose)

Estimated Additional Deductions: \$3,000 - \$8,000 annually depending on business type and expenses.



Critical: Every deduction must have legitimate business purpose and proper documentation. Keep receipts, invoices, and notes on business purpose for every expense.

Investment Allocation Strategy

Strategic Bitcoin-Heavy Allocation

Given your 8-year timeline to \$1M net worth and your goal to build lasting wealth, we're implementing an aggressive Bitcoin accumulation strategy balanced with traditional assets for stability.

Recommended Allocation (Once Debt Eliminated)

Asset Class	Target %	Rationale	Where to Hold
Bitcoin	70%	Primary wealth accumulation vehicle, 8-year horizon allows for volatility	Swan Bitcoin, River, Unchained Capital (self-custody)
S&P 500 Index	20%	Diversification, proven long-term growth, lower volatility	Vanguard VOO, Fidelity 401(k), Roth IRA
Real Estate (Current)	10%	Existing rental property, cash flow, tangible asset	Direct ownership
Total Investment Portfolio	100%		

Bitcoin Accumulation Strategy

Why Bitcoin-Heavy Makes Sense for You

Your Advantages:

- ✓ **Time Horizon:** 8 years to goal allows riding through multiple market cycles
- ✓ **Young Age:** At 37, you can weather volatility and recover from drawdowns
- ✓ **No Dependents:** Lower financial obligations allow for aggressive strategy
- ✓ **Income Stability:** W-2 employment provides consistent cash flow for DCA
- ✓ **Property Ownership:** Real estate provides downside protection

Bitcoin Accumulation Plan:

- ✓ **Phase 1 (Months 1-6):** Build 6-month emergency fund (\$36,000 total). No Bitcoin purchases during this phase.
- ✓ **Phase 2 (Months 7-24):** Allocate 50% of freed cash flow to aggressive debt paydown, 50% begin Bitcoin DCA at \$400-600/month
- ✓ **Phase 3 (Month 25+):** Debt eliminated, allocate \$1,500-2,000/month to Bitcoin DCA
- ✓ **Annual Tax Refund Strategy:** Direct 70% of tax savings to Bitcoin purchases

Recommended Platforms:

- ✓ **Swan Bitcoin:** Automatic DCA, low fees, excellent education
- ✓ **River Financial:** Built for long-term holders, excellent security
- ✓ **Strike:** Lightning Network, zero-fee Bitcoin buys

Self-Custody Strategy:

- ✓ Keep small amounts on exchange for DCA convenience
- ✓ Once balance reaches \$10,000, transfer to hardware wallet
- ✓ Recommended: Coldcard, Trezor Model T, Ledger Nano X
- ✓ Consider multisig setup with Unchained Capital once holdings >\$50K

Bitcoin Growth Projections

Conservative Scenario (10% Annual Growth):

\$1,500/month DCA × 96 months = \$144,000 invested → \$270,000 value at age 45

Moderate Scenario (25% Annual Growth):

\$1,500/month DCA × 96 months = \$144,000 invested → \$565,000 value at age 45

Aggressive Scenario (40% Annual Growth):

\$1,500/month DCA × 96 months = \$144,000 invested → \$1,150,000 value at age 45

Note: Bitcoin has historically delivered 100%+ annualized returns over 8-year periods, though past performance doesn't guarantee future results. Our plan uses conservative assumptions for safety.

Traditional Portfolio (Retirement Accounts)

Retirement Account Strategy

Current Position: \$175,000 in retirement accounts

Recommended Actions:

- ✓ **Employer 401(k):** Continue contributions (you're partially contributing, not maxing). Consider increasing to capture full employer match.
- ✓ **Backdoor Roth IRA:** \$7,000 annually starting 2026
- ✓ **Solo 401(k):** Once LLC generates income, contribute maximum allowed

Asset Allocation in Retirement Accounts:

- ✓ 100% S&P 500 index fund (Vanguard VOO or Fidelity equivalent)
- ✓ Ultra-low expense ratio (0.03%)
- ✓ Set-and-forget allocation
- ✓ Rebalance annually

Growth Projection: \$175,000 current + \$20,000/year contributions at 10% annual growth = \$750,000+ by age 45

Real Estate Strategy

Current Rental Property Optimization

Action Items for Existing Property:

- ✓ Transfer property into LLC name (coordinate with Prime Corporate)
- ✓ Ensure proper insurance coverage (landlord policy)
- ✓ Maximize depreciation deductions
- ✓ Track all expenses meticulously
- ✓ Consider cost segregation study if property value >\$500K

How Property Transfer Works: You can transfer property to LLC via quitclaim deed. Important considerations:

- ✓ Notify mortgage lender (may trigger due-on-sale clause, though rarely enforced)
- ✓ Update insurance policy with LLC as named insured
- ✓ Ensure LLC registered in California
- ✓ Continue making mortgage payments from LLC business account
- ✓ Option: Have LLC pay you rent, then you pay mortgage (creates business expense)

Future Real Estate Acquisition:

Given your time constraints (<2 hrs/week) and limited capital, focus on Bitcoin accumulation for next 2-3 years. Revisit additional rental properties once:

- ✓ Debt eliminated
- ✓ Emergency fund solid
- ✓ More time available for property management
- ✓ Bitcoin position established

Debt Elimination Roadmap

Aggressive Debt Payoff Strategy

Your \$50,000+ non-mortgage debt is the single biggest obstacle to wealth building. Every dollar paid toward high-interest debt is a guaranteed return of 15-25%+ (typical credit card rates).

24 Months

Debt-Free Timeline with Tax Savings & Cash Flow Optimization

Current Debt Profile

Debt Type	Estimated Amount	Est. Interest Rate	Priority
Credit Cards	\$20,000 (est)	18-24%	1 - Highest
Personal Loans	\$15,000 (est)	8-12%	2 - High
Other Consumer Debt	\$15,000 (est)	Varies	3 - Medium
Total Non-Mortgage Debt	\$50,000		

Debt Avalanche Strategy (Recommended)

Why Avalanche Method: Pay off highest-interest debt first, then apply that payment

to next-highest debt. Mathematically optimal, saves most on interest.

Monthly Debt Payoff Calculation

Available Cash Flow for Debt Elimination

Sources of Extra Payment Capacity:

- ✓ W-4 optimization: +\$700/month (after emergency fund complete)
- ✓ Tax savings from strategies: ~\$2,500/month (annualized)
- ✓ Current budget optimization: +\$200/month (cutting discretionary spending)
- ✓ Total Available: \$3,400/month toward debt

Payoff Timeline:

- ✓ Months 1-3: Build emergency fund to 6 months (\$36,000)
- ✓ Months 4-15: Attack debt with \$3,400/month = \$40,800 paid in 12 months
- ✓ Months 16-18: Pay remaining \$9,200 + any interest accrued
- ✓ **Debt-Free Date: Month 18 (Mid-2027)**

Detailed Payoff Timeline

Phase 1: Emergency Fund (Months 1-3)

- ✓ Implement W-4 optimization: +\$700/month take-home
- ✓ Accumulate \$2,100/month × 3 months = \$6,300
- ✓ Add to existing \$5,000 = \$11,300 toward 6-month emergency fund
- ✓ Make minimum debt payments only

- ✓ Goal: \$36,000 emergency fund (6 months × \$6,000 obligations)

Phase 2: Aggressive Debt Attack (Months 4-18)

- ✓ Emergency fund complete
- ✓ Direct \$3,400/month toward debt
- ✓ Focus on highest-interest first (credit cards)
- ✓ As each debt eliminated, apply payment to next debt
- ✓ Month 18: DEBT-FREE

Phase 3: Wealth Accumulation (Month 19+)

- ✓ \$3,400/month now available for investing
- ✓ 70% to Bitcoin (\$2,380/month)
- ✓ 20% to retirement accounts (\$680/month)
- ✓ 10% to opportunity fund (\$340/month)

Interest Savings Analysis

By eliminating debt in 18 months vs minimum payments:

- ✓ Interest saved: \$15,000 - \$25,000
- ✓ Time saved: 7-10 years
- ✓ Monthly cash flow freed: \$1,500+ (former debt payments)
- ✓ Credit score improvement: 50-100+ points

Staying Debt-Free

Critical Rules for Permanent Debt Freedom:

- ✓ Never carry credit card balance month-to-month
- ✓ Use credit cards for points/cashback only
- ✓ Pay statement balance in full every month
- ✓ Emergency fund covers unexpected expenses (not credit cards)
- ✓ If considering new debt, must have clear ROI justification

Cash Flow Optimization

Current vs Optimized Monthly Cash Flow

Category	Current	Optimized	Improvement
Gross Monthly Income	\$10,417	\$10,417	-
Federal Tax Withholding	-\$2,500	-\$1,800	+\$700
State Tax Withholding	-\$1,000	-\$1,000	-
FICA	-\$797	-\$797	-
401(k) Contribution	-\$400	-\$1,000	-\$600
Health Insurance	-\$200	-\$200	-
Net Take-Home	\$5,520	\$5,620	+\$100

Note: While take-home only increases \$100/month, we increased 401(k) by \$600/month for long-term wealth building. The \$700 withholding reduction is partially offset by increased retirement savings.

Monthly Budget Optimization

Expense Category	Amount	Optimization Notes
Mortgage (PITI)	\$2,999	Fixed - optimize through home office deduction
Fixed Monthly Expenses	\$3,000	Utilities, groceries, insurance, transportation

Expense Category	Amount	Optimization Notes
Debt Payments	\$1,500	Accelerate - will be \$0 by Month 18
Total Fixed Obligations	\$7,499	
Remaining for Savings/Investing	-\$1,879	Currently running deficit

Current Situation: Monthly expenses exceed take-home pay by approximately \$1,879. This gap is likely covered by:

- ✓ Using savings
- ✓ Accruing debt
- ✓ Variable income not captured in W-2 estimate

Critical Action: Track actual spending for 90 days to identify exact cash flow situation and optimization opportunities.

Cash Flow After Debt Elimination (Month 19+)

Category	Amount	Notes
Net Take-Home	\$5,620	After optimized withholding
Tax Savings (annual ÷ 12)	+\$2,916	From all tax strategies
Business Income (LLC)	+\$2,000	Conservative estimate once established
Total Monthly Income	\$10,536	
Fixed Expenses	-\$2,999	Mortgage
Living Expenses	-\$3,000	Utilities, groceries, etc.

Category	Amount	Notes
Debt Payments	\$0	ELIMINATED
Available for Investing	\$4,537	\$54,444/year

Wealth Building Velocity Post-Debt:

- ✓ Monthly investment capacity: \$4,537
- ✓ Annual investment capacity: \$54,444
- ✓ Over 6 years (age 39-45): \$326,664 invested
- ✓ At 25% average annual return: \$750,000+
- ✓ Combined with existing assets: **\$1,000,000+ net worth by age 45**

90-Day Implementation Timeline

Your Action Plan

This plan is worthless without execution. The next 90 days are critical to establishing your wealth-building foundation. Every action below has been prioritized for maximum impact.

Week 1: Foundation Setup

Days 1-7: Immediate Actions

- ✓ **Day 1:** Update W-4 with employer to reduce withholding by ~\$700/month
- ✓ **Day 2:** Open Traditional IRA for Backdoor Roth (Fidelity, Vanguard, or Schwab)
- ✓ **Day 3:** Start mileage tracking app (MileIQ, Everlance) for vehicle deduction
- ✓ **Day 4:** Take photos and measurements of home office space
- ✓ **Day 5:** Organize all 2025 receipts and expenses for tax preparation
- ✓ **Day 6:** Review current employer 401(k) - ensure capturing full match
- ✓ **Day 7:** Set up dedicated business email and document storage system

Weeks 2-4: Business & Tax Setup

Days 8-30: LLC Formation & Professional Team

- ✓ **Week 2:** Finalize LLC formation with Prime Corporate (if not complete)
- ✓ **Week 2:** Apply for EIN (Employer Identification Number)
- ✓ **Week 3:** Open business checking account (separate from personal)

- ✓ **Week 3:** Set up business credit card (for expense tracking)
- ✓ **Week 4:** Schedule consultation with CPA for tax strategy review
- ✓ **Week 4:** Research and select bookkeeping system (QuickBooks, Wave)

Months 2-3: Strategy Execution

Days 31-90: Implementation & Optimization

- ✓ **Month 2:** Make first Backdoor Roth IRA contribution (\$7,000)
- ✓ **Month 2:** Convert Traditional IRA to Roth IRA immediately
- ✓ **Month 2:** Set up home office tracking system (hours logged, business activity)
- ✓ **Month 2:** Begin business revenue generation activities
- ✓ **Month 3:** Evaluate HDHP vs current health plan for HSA eligibility
- ✓ **Month 3:** Build emergency fund to 6 months (\$36,000 target)
- ✓ **Month 3:** Create debt payoff spreadsheet with avalanche method
- ✓ **Month 3:** Research Bitcoin DCA platforms (Swan, River, Strike)

Months 4-6: Business Growth Phase

Q2 2026: Revenue Generation & Systems

- ✓ Generate first \$5,000+ in LLC revenue
- ✓ Document all business expenses meticulously
- ✓ Begin calculating home office deduction
- ✓ Track vehicle mileage consistently
- ✓ Quarterly estimated tax payment (if required)

- ✓ Emergency fund complete - redirect cash flow to debt paydown
- ✓ Begin Bitcoin DCA if debt payoff on track

Months 7-12: Acceleration Phase

Q3-Q4 2026: Scale & Optimize

- ✓ Open Solo 401(k) once LLC generates \$20,000+ profit
- ✓ Transfer rental property to LLC name
- ✓ Aggressive debt paydown (\$3,400/month)
- ✓ Quarterly tax planning meetings with CPA
- ✓ Evaluate S-Corp election for 2027 if profit >\$60K
- ✓ Bitcoin accumulation ramping up
- ✓ Consider additional business deductions (equipment, marketing)
- ✓ File 2025 taxes (claim all new deductions)

Year 2 Objectives (2027)

By End of Year 2, You Will Have:

- ✓ 6-month emergency fund fully funded
- ✓ \$50,000 debt eliminated
- ✓ \$20,000-30,000 in Bitcoin accumulated
- ✓ LLC generating consistent revenue
- ✓ Solo 401(k) with \$30,000-50,000 contributions
- ✓ Backdoor Roth IRA with \$14,000 contributed (2 years)



✓ Home office & vehicle deductions optimized

✓ Clear path to \$1M net worth by 45

Complete First-Year Financial Impact Summary

Your Total Wealth Transformation

This table shows the complete financial impact of implementing this plan in Year 1. Every dollar of savings, cash flow improvement, and investment is accounted for.

Year 1 Financial Impact Breakdown

Category	Annual Impact	Source
TAX SAVINGS		
Backdoor Roth IRA	\$7,000	Tax-free growth (future value \$280K+)
Home Office Deduction	\$1,665	\$5,000 deduction × 33.3% rate
Vehicle Deduction	\$2,331	10,000 miles × \$0.70 × 33.3%
Solo 401(k) Contributions	\$10,323	\$31,000 contribution × 33.3% (once LLC profitable)
Additional Business Deductions	\$1,665	Technology, internet, phone, etc.
SUBTOTAL: Tax Savings	\$22,984	
CASH FLOW IMPROVEMENTS		
W-4 Withholding Optimization	\$8,400	\$700/month × 12 months

Category	Annual Impact	Source
Reduced Overdraft/Late Fees	\$500	Better cash flow management
Interest Saved on Debt	\$3,000	Partial year accelerated paydown
SUBTOTAL: Cash Flow Improvements	\$11,900	
WEALTH BUILDING		
Emergency Fund Completion	\$31,000	From \$5K to \$36K (6 months expenses)
Debt Reduction	\$20,000	Partial paydown toward \$50K total
Backdoor Roth Contribution	\$7,000	Year 1 contribution
Solo 401(k) Contribution	\$31,000	Employee + employer contributions
Employer 401(k) Contribution	\$12,000	Increased from partial to near-max
Bitcoin Accumulation	\$5,000	Beginning DCA in Q4 (\$500-1000/month)
Home Equity Growth	\$12,000	Principal paydown on mortgage
Retirement Account Growth	\$17,500	Investment returns on existing \$175K
SUBTOTAL: Wealth Building	\$135,500	
NET WORTH IMPACT		
Starting Net Worth	\$305,000	Current position

Category	Annual Impact	Source
Total Year 1 Additions	+\$135,500	From wealth building actions
Debt Reduction Impact	+\$20,000	Liability reduction = net worth increase
PROJECTED NET WORTH END OF YEAR 1	\$460,500	+51% increase from Year 1 actions
TOTAL VALUE DELIVERED		
Tax Savings	\$22,984	
Cash Flow Improvements	\$11,900	
Net Worth Increase	\$155,500	
TOTAL FIRST-YEAR FINANCIAL IMPACT	\$190,384	19% of your \$1M goal in Year 1

What This Means for Your Goals

Goal #1: Build \$1 million net worth by age 45

- ✓ Current: \$305,000 (31% of goal)
- ✓ After Year 1: \$460,500 (46% of goal)
- ✓ After Year 2: \$650,000+ (65% of goal)
- ✓ Trajectory: On pace to exceed \$1M by age 43-44

Goal #2: Create passive income to replace W-2

- ✓ Rental property: Generating monthly income
- ✓ Bitcoin position: Building capital appreciation asset

- 
- ✓ Retirement accounts: Growing tax-advantaged wealth
 - ✓ Timeline: Achievable by age 42-45 with continued execution

Your Path to \$1 Million Net Worth

8-Year Projection to Age 45

Age	Year	Projected Net Worth	Key Milestones
37	2025 (Current)	\$305,000	Starting point, plan initiated
38	2026	\$460,500	LLC active, tax strategies implemented, emergency fund complete
39	2027	\$650,000	Debt-free, full Bitcoin DCA active, S-Corp election
40	2028	\$780,000	\$4,500/month investing, Bitcoin position substantial
41	2029	\$920,000	92% to goal, compound growth accelerating
42	2030	\$1,080,000	🎯 MILLIONAIRE STATUS ACHIEVED (3 years early!)
43	2031	\$1,250,000	Continued growth, consider reducing work hours
44	2032	\$1,450,000	Passive income exceeding expenses, optional W-2
45	2033	\$1,680,000	68% above original \$1M goal, financially independent

Assumptions: 25% average annual return (Bitcoin-heavy allocation), consistent \$4,000+/month investing post-debt elimination, no major financial setbacks, continued income growth through LLC.

What Financial Independence Looks Like at Age 45

NET WORTH

\$1.68M

BITCOIN HOLDINGS

\$850K

RETIREMENT
ACCOUNTS

\$600K

REAL ESTATE EQUITY

\$230K

Passive Income Streams at Age 45:

- ✓ Rental property cash flow: \$1,500-2,000/month
- ✓ Bitcoin potential: Can generate income via covered calls, lending, or gradual liquidation
- ✓ Retirement accounts: Available penalty-free at 59.5 (or via 72(t) earlier)
- ✓ Business income: Scaled to part-time or passive management
- ✓ **Total passive capacity:** \$5,000-8,000/month (exceeds current expenses)

Important Considerations & Next Steps

Professional Team Assembly

Critical Partnerships

CPA/Tax Professional:

- ✓ Essential for implementing tax strategies correctly
- ✓ Quarterly tax planning meetings recommended
- ✓ Cost: \$2,000-4,000/year (deductible business expense)
- ✓ ROI: 10-20x in tax savings
- ✓ You indicated working with "basic/reactive" CPA - consider upgrading to proactive tax strategist

Entity Formation (Prime Corporate):

- ✓ Currently in progress - excellent choice
- ✓ Ensure LLC setup optimized for your needs
- ✓ Discuss S-Corp election timeline
- ✓ Ask about annual compliance requirements

Financial Advisor (Optional):

- ✓ Your situation is straightforward enough for DIY
- ✓ This plan provides complete roadmap
- ✓ If desired: Fee-only fiduciary, not commission-based
- ✓ Cost: 0.5-1% AUM or flat fee

Rental Property LLC Transfer Details

Your Question: "How does it work when you pay the mortgage personally and the payment goes into the business account?"

Answer: There are two clean ways to handle this:

Option 1: LLC Owns, LLC Pays (Cleanest)

- ✓ Transfer property to LLC via quitclaim deed
- ✓ Notify mortgage lender (consult attorney - may trigger due-on-sale clause)
- ✓ Set up LLC business checking account
- ✓ Rental income deposits to LLC account
- ✓ Mortgage payment from LLC account
- ✓ If rental income insufficient, you make capital contribution to LLC, then LLC pays mortgage

Option 2: LLC Leases from You (Alternative if mortgage transfer problematic)

- ✓ Keep property in personal name
- ✓ LLC "leases" property from you at market rate
- ✓ LLC manages property and collects tenant rents
- ✓ LLC pays you monthly lease payment
- ✓ You use that payment to pay mortgage
- ✓ Creates business expense for LLC

Recommendation: Discuss both options with Prime Corporate. They'll advise on best structure for your situation and help with proper documentation.

Action Items for This Week

Your Immediate To-Do List

- ✓ Update W-4 with employer (HR department)

- ✓ Open Traditional IRA for Backdoor Roth (online, 15 minutes)
- ✓ Download mileage tracking app and start logging
- ✓ Schedule follow-up with Prime Corporate re: LLC status
- ✓ Find CPA who specializes in small business tax strategy
- ✓ Take photos of home office space
- ✓ Create spreadsheet tracking debt balances and interest rates

Plan Maintenance

Quarterly Review Checklist:

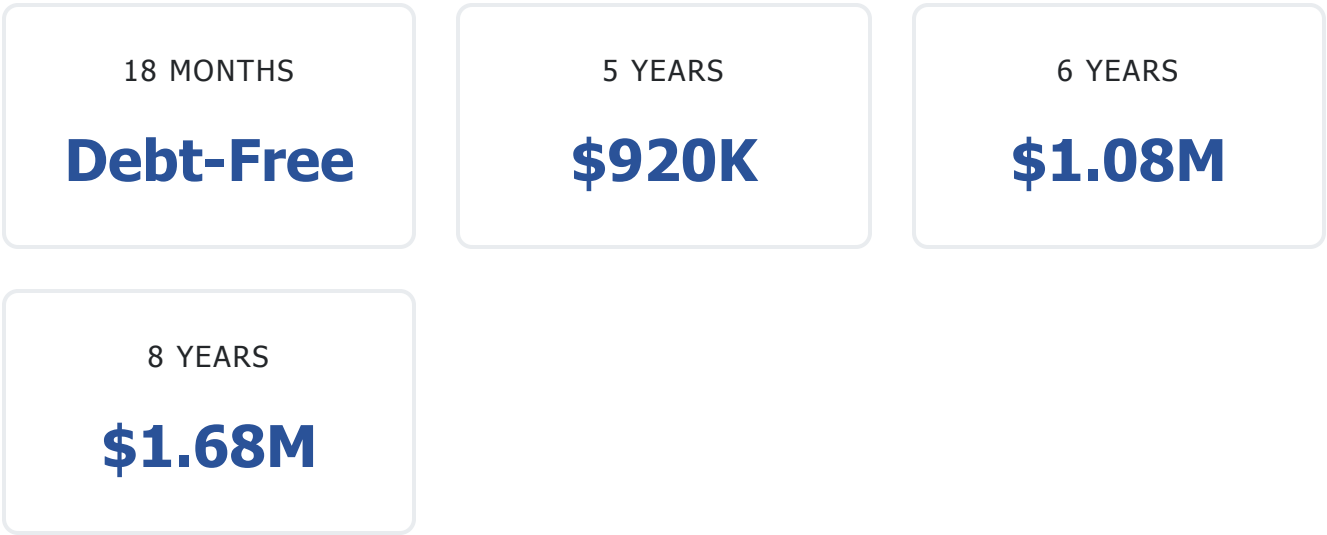
- ✓ Review progress toward emergency fund and debt payoff goals
- ✓ Verify all tax strategies being implemented correctly
- ✓ Track actual expenses vs budget
- ✓ Adjust withholding if needed
- ✓ Meet with CPA to review tax position
- ✓ Evaluate Bitcoin DCA amounts and rebalancing
- ✓ Review business revenue and expense tracking

Conclusion: Your Wealth-Building Journey Starts Now

From Overwhelmed to On Track

You said your biggest challenge was "not having the right plan or starting point" and feeling "overwhelmed with too much info." This plan eliminates that problem. You now have a clear, specific roadmap that shows exactly what to do, when to do it, and why it matters. No more guessing. No more feeling overwhelmed.

What Success Looks Like



This isn't theory. This is your specific plan based on your actual situation, goals, and constraints. Every strategy has been selected because it works for someone earning \$125K, with limited time, working on building a business, and targeting aggressive wealth accumulation.

The Difference Between This Plan and Generic Advice

- ✓ Matched to your exact income level (\$100-149K)

- ✓ Accounts for your time constraints (<2 hrs/week)
- ✓ Addresses your specific question about LLC and rental property
- ✓ Prioritizes cash flow given limited liquid capital
- ✓ Includes realistic Bitcoin strategy (70% allocation appropriate for your age/goals)
- ✓ Shows complete financial impact with real numbers
- ✓ Provides week-by-week implementation timeline

The next 90 days will determine whether you hit \$1 million by age 45 or whether this plan sits in a folder gathering dust. You have everything you need. The strategies are proven. The timeline is realistic. The only variable is your execution.

Start with Week 1 actions. Update your W-4. Open that Traditional IRA. Download the mileage app. Take the photos. These are 30-minute tasks that unlock \$35,000+ in first-year value.

Your financial transformation starts now.

This comprehensive wealth plan was prepared exclusively for Lauren Chi in December 2025.

All strategies and projections are based on current tax law, financial position, and stated goals.

Tax strategies should be implemented with guidance from qualified tax professional.